Larkspur Industry Insights
Sector research for credit and investment teams

Australian Early Learning Sector Outlook

Occupancy, labour costs, Child Care Subsidy settings and centre values, April 2024

Prepared for Quillwood Credit Partners
Larkspur Industry Insights, Care Economy Research
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Coverage	Centre-based long day care, all states and territories
Panel	1,420 centres, data to 31 March 2024

Document details

1. Executive summary

Average occupancy across the Larkspur panel of long day care centres was 74% at 31 March 2024, down one percentage point from the September 2023 peak of 75%. The softening is small nationally but uneven. Several Queensland growth corridors are now trading in the high 60s, which is at or below the level at which a typical rent-paying operator breaks even.

Three forces will shape credit outcomes over the next 12 to 24 months: wage growth that is running ahead of fee growth, Child Care Subsidy (CCS) settings that have lifted family demand but also invite closer scrutiny of fees, and new supply that is concentrated in a small number of fast-growing outer-suburban corridors. The median going-concern centre value in the panel is A$4.2M, supported by a median EBITDAR yield of about 9.5%. That yield is sensitive to margin, and margin is sensitive to labour.

Our principal findings are as follows.

- Occupancy of 74% is adequate for a well-run centre in a balanced market, but it leaves limited headroom. Our model 80-place centre breaks even after rent at about 68% occupancy.
- Labour is about 64% of revenue in the model centre. A 5% wage increase with no fee pass-through removes about A$64,000 of EBITDAR, a fall of 16%, and would cut value by about A$674,000 at a constant yield.
- CCS settings since July 2023 have improved affordability and supported demand, but they do not increase the hourly rate cap, so fee growth above the cap falls on families and is under regulatory and public attention.
- Four Queensland corridors (Ipswich and Springfield, northern Moreton Bay, Logan and Beaudesert, and the northern Gold Coast) have pipeline supply of 6% to 18% of existing places and average occupancy of 67% to 72%. Values in these corridors sit 3% to 12% below the Queensland median of A$3.7M.
- Lenders should differentiate sharply between corridors. We suggest lower leverage and higher rent cover for oversupplied locations, and monitoring of occupancy, wage outcomes and fee increases on a quarterly basis.

2. Scope, sources and method

This report covers centre-based long day care. It does not cover outside school hours care, family day care or standalone kindergartens, which have different revenue and cost structures. Where we refer to the panel, we mean 1,420 centres for which Larkspur holds operating data, valuation evidence or both for the period to 31 March 2024.

Occupancy is measured as attended or booked child days as a share of available child days at licensed capacity, averaged over the quarter. State figures are weighted by panel centre count. Values are going-concern values, meaning the sale price of the business and property together, and are quoted as medians to limit the effect of a small number of large metropolitan transactions.

The unit economics in section 5 use a stylised centre so that the effects of wage and occupancy changes can be traced transparently. The model centre has 80 licensed places, an average daily fee of A$135, 250 operating days a year and occupancy of 74%. It is not a forecast for any individual centre. Policy summaries reflect Larkspur's understanding at the date of this report and readers should confirm current settings with the relevant authorities before relying on them.

3. Demand and occupancy

3.1 National trend

Occupancy recovered steadily through 2022 and 2023 as workforce participation rose and the post-pandemic backlog of enrolments cleared. The panel average reached 75% in March 2023 and held there until September 2023. The March 2024 reading of 74% is the first decline in two years. We attribute most of the movement to new supply in Queensland and parts of outer Sydney and Melbourne rather than to a fall in underlying demand.

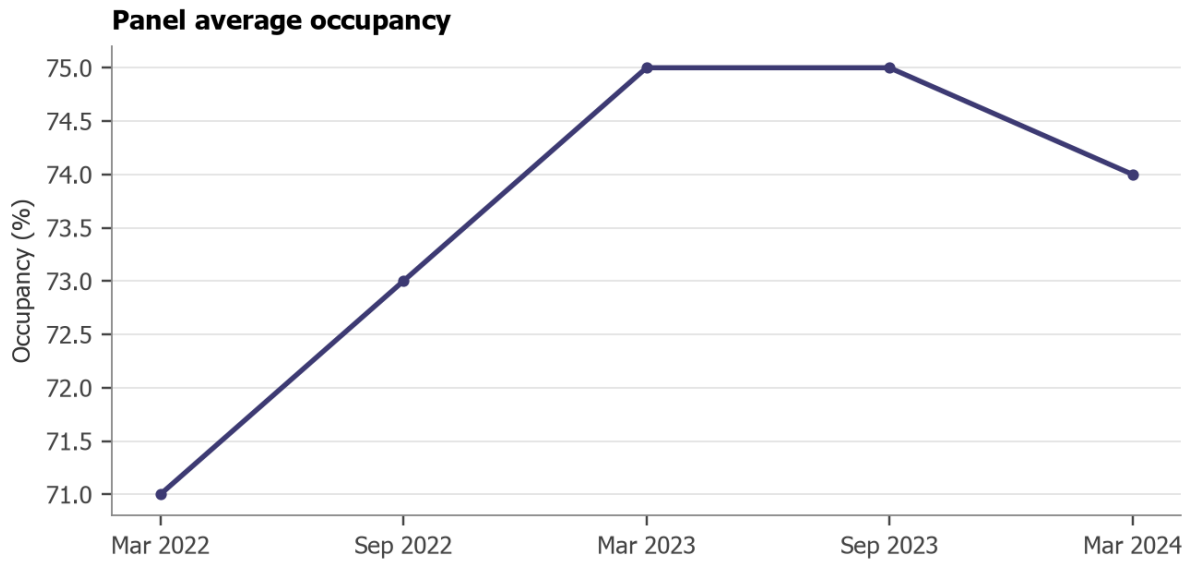


Figure 1: Average occupancy across the Larkspur panel, March 2022 to March 2024

3.2 State differences

Western Australia and Victoria are the strongest markets, with occupancy of 77% and 76% respectively. New South Wales is close to the national average at 75%. Queensland is the weakest large market at 70%, reflecting both a faster supply response and a lower fee base. South Australia, Tasmania, the ACT and the Northern Territory are small in the panel and show more volatility from quarter to quarter.

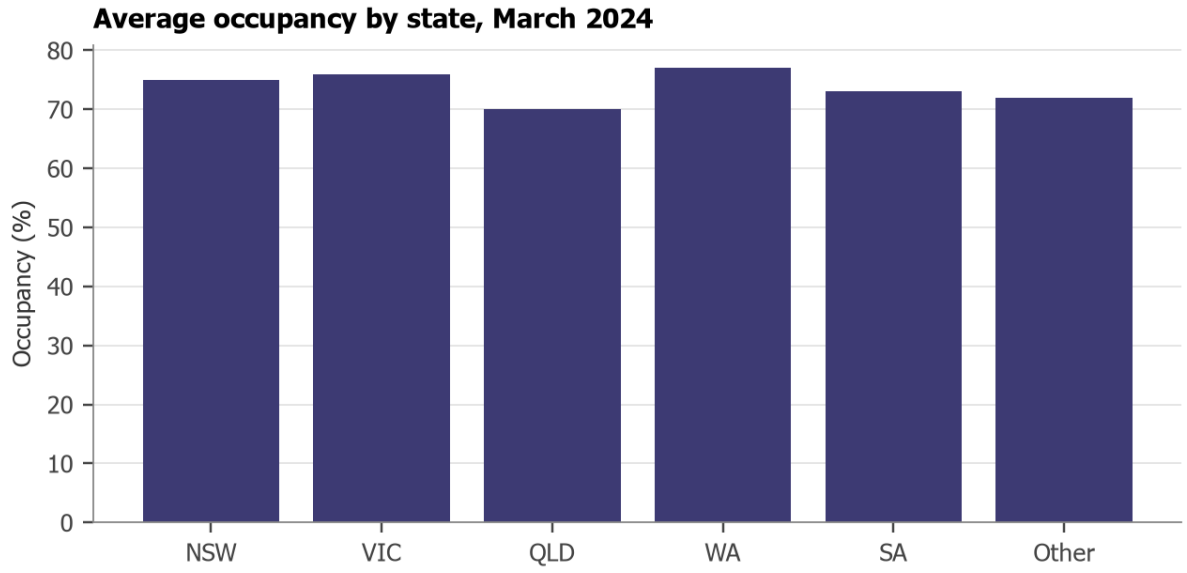


Figure 2: Average occupancy by jurisdiction. Other includes Tasmania, the ACT and the Northern Territory

State	Panel centres	Occupancy (%)	Median value (A$M)
NSW	440	75	4.8
VIC	355	76	4.4
QLD	312	70	3.7
WA	142	77	4.1
SA	85	73	3.5
Other	86	72	3.3
National	**1,420**	**74**	**4.2**

Table 1: Panel centres, occupancy and median going-concern value by state, March 2024

Demand drivers remain supportive. Female workforce participation is at record levels, enrolments are increasingly for four and five days a week as hybrid work patterns settle, and the shift of preschool programs into long day care continues in several states. Against that, birth numbers have been flat, and household budgets are under pressure from higher interest rates. Families under financial stress are more likely to reduce days per week than to leave care altogether, which matters for occupancy because it reduces utilisation without reducing enrolments.

4. Supply and the Queensland corridors

Approvals and construction activity for new centres rose strongly through 2022 and 2023. Developers were attracted by long leases to established operators, yields that compared well with other commercial property, and a policy environment that favoured demand. The result is a pipeline that is large in absolute terms and heavily concentrated. In Queensland, a small number of high-growth corridors account for most of the new approvals.

Table 2 summarises the five corridors in the Queensland panel that we monitor most closely. The 194 centres shown represent 62% of the 312 Queensland centres in the panel. The remaining 118 centres, mainly regional and in established suburbs outside the corridors, averaged 69% occupancy.

Corridor	Panel centres	Occupancy (%)	Pipeline (% of places)	Value vs QLD median
Ipswich and Springfield	38	67	18	-12%
Northern Moreton Bay	41	68	15	-10%
Logan and Beaudesert	34	69	12	-7%
Northern Gold Coast	29	72	6	-3%
Brisbane inner and middle	52	76	3	+9%

Table 2: Queensland corridor indicators, March 2024. Pipeline is approved or under construction places as a share of existing licensed places

The pattern is clear. Where pipeline supply exceeds 10% of existing places, occupancy is below 70% and values are discounted by 7% to 12%. The Brisbane inner and middle ring, where land constraints limit new supply, trades at a premium. New centres in oversupplied corridors typically take 18 to 30 months to reach 70% occupancy, against 12 to 18 months in balanced markets, and the incumbent centres bear part of that cost through slower enrolment growth.

We expect the supply response to moderate from late 2024. Higher construction costs, tighter development finance and the observable occupancy weakness in the corridors above are already reducing the number of speculative proposals. That will help centres open today, but it will not remove the places already approved and under construction.

5. Labour costs and margins

5.1 Unit economics of the model centre

Labour is by far the largest cost for a long day care operator. Staff ratios are set by regulation and qualification requirements apply to a proportion of the workforce, so labour cost is semi-fixed. It does not fall in line with occupancy. Table 3 sets out the economics of the model centre at 74% occupancy.

Line item	A$000	% of revenue
Revenue	1,998	100.0
Labour	1,279	64.0
Food and consumables	100	5.0
Other operating costs	220	11.0
EBITDAR	399	20.0
Rent (assumed market)	270	13.5
EBITDA after rent	129	6.5

Table 3: Model 80-place centre, annual figures at 74% occupancy

At 74% occupancy the model centre earns EBITDAR of A$399,000 and covers a market rent of A$270,000 by 1.48 times. Treating 75% of labour as fixed, EBITDAR reaches zero at about 55% occupancy. After rent, break-even occupancy is about 68%. That is the figure to keep in mind when reading the Queensland corridor data in Table 2, where several areas sit at or just below it.

5.2 Wage growth

Award wages for educators rose by 5.75% from 1 July 2023 under the Fair Work Commission annual wage review, and the sector continues to compete for qualified staff against schools, health and aged care. Enterprise agreements, over-award payments and retention incentives have added to cost in many centres. The broader policy debate on pay for early childhood educators, including the possibility of government funding tied to wage outcomes, makes further increases more likely than not over the forecast period, although the timing and size are uncertain.

Table 4 shows the effect on the model centre of wage increases of 3%, 5% and 7% applied to the labour line, with no fee increase to offset them. The last column shows the fee increase needed to restore EBITDAR to its current level.

Wage rise	Added cost (A$000)	EBITDAR (A$000)	EBITDAR margin (%)	Fee rise to offset (%)
Base	0	399	20.0	0.0
3%	38	361	18.1	1.9
5%	64	335	16.8	3.2
7%	90	309	15.5	4.5

Table 4: Sensitivity of model centre EBITDAR to wage growth, no fee pass-through

A 5% unrecovered wage increase reduces rent cover from 1.48 times to 1.24 times. At a constant yield of 9.5%, EBITDAR of A$335,000 implies a value of about A$3.53M against A$4.2M, a fall of about A$674,000 or 16%. The result is not an argument that values will fall by that amount, since most operators will pass through part of the increase. It does show how much of a centre's value depends on the operator's ability to price.

Pass-through is not automatic. Fee increases of 3% to 5% are within the range most operators have applied over the past year, but fees above the hourly rate cap fall directly on families, and centres in oversupplied corridors have less ability to raise prices without losing enrolments. In our panel, centres with occupancy above 80% raised fees by an average of 5.6% over the 12 months to March 2024, while centres below 70% raised fees by an average of 3.4%.

6. Child Care Subsidy and policy settings

From 10 July 2023 the maximum CCS rate increased to 90% of the fee, up to the hourly rate cap, for families with annual income up to A$80,000. The rate reduces by one percentage point for each A$5,000 of additional income and reaches zero at A$530,000. Previously the maximum was 85%, and the subsidy was not available above A$356,756. The change lifted the subsidy for most families and extended it to higher-income households, and in our view contributed to the increase in days booked per child through the second half of 2023.

The CCS is paid on the lower of the actual fee and the hourly rate cap, which for centre-based day care was A$13.73 an hour in 2023-24 and is indexed each July. Where a centre charges above the cap, the subsidy does not rise with the fee and the family bears the full increase. As fees in metropolitan areas have moved above the cap, the effective subsidy has fallen

as a share of the fee for many families. This is the mechanism through which wage-driven fee increases translate into household affordability concerns.

Three policy developments warrant close attention.

- Fee scrutiny. The ACCC inquiry into childcare prices and the Productivity Commission inquiry into early childhood education and care have both focused on fee growth, supply gaps and the role of for-profit operators. Recommendations could affect fee-setting, reporting and the way government funds supply.
- Funding linked to wages. Policy options under discussion include direct funding to support higher wages in return for limits on fee growth. Such an arrangement could reduce the margin risk shown in Table 4, but it could also cap pricing flexibility.
- Activity test and access. Changes to the activity test for subsidised hours would influence demand for days per week, with the largest effect on lower-income and part-time working families.

We do not assume any specific policy outcome in our base case. The practical conclusion for lenders is that the sector's revenue depends in part on government settings, which can change within a budget cycle, and that facilities should be tested against reasonable downside cases for both wages and fees.

7. Centre values and transactions

The median going-concern value of A$4.2M masks a wide spread driven by size, location and operator quality. Table 5 splits the panel into three size bands.

Size band	Panel centres	Median value (A$M)	Median EBITDAR yield (%)
Large (100+ places)	310	6.1	8.5
Mid-size (70 to 99)	640	4.6	9.3
Small (under 70)	470	2.9	10.2
All centres	**1,420**	**4.2**	**9.5**

Table 5: Median value and EBITDAR yield by centre size, March 2024

Larger centres command lower yields because they are more resilient to single-room closures and staff absences, and because the buyer pool is deeper, including institutional and listed operators. Small centres trade at higher yields and are more dependent on a single owner-operator, which increases key person risk.

Transaction volumes slowed in the second half of 2023 as the gap between vendor expectations and buyer pricing widened. Buyers now require two to three years of verified trading history, rent cover of at least 1.5 times, and in many cases a price adjustment tied to forward occupancy. Properties with long leases to strong operators continue to attract demand from investors seeking inflation-linked rent, but we have seen the yield on these assets move out by 25 to 50 basis points over the year to March 2024 in line with higher interest rates. Going-concern values have been stable at the median, with weakness confined to oversupplied corridors and to centres with occupancy below 65%.

8. Implications for lenders

Lending against early learning centres combines real property risk with operating business risk. Our analysis supports a differentiated approach by market type rather than a single sector-wide appetite. Table 6 sets out indicative reference points that Quillwood Credit Partners may wish to consider alongside its own credit policy. They are not recommendations on any individual transaction.

Market type	Indicative max LVR (%)	Min rent cover (x)	Occupancy trigger (%)
Undersupplied or balanced metro	65	1.5	70
Established regional	60	1.6	68
Oversupplied corridor	50	1.8	72
New centre in ramp-up	50	Not applicable	Milestone based

Table 6: Indicative underwriting reference points by market type

The following practices would improve the quality of credit decisions in the sector.

- Test the lease and operator separately. A lease with a strong operator can still fail if the centre is underperforming, and a strong centre can be undermined by a weak lease structure.
- Underwrite to occupancy and wage downsides together. A drop of five percentage points in occupancy combined with a 5% unrecovered wage rise would reduce EBITDAR in the model centre by roughly 60%, and would take rent cover below 1.0 times.
- Examine the catchment, not just the centre. Pipeline supply within a 3 to 5 kilometre radius is a better predictor of ramp-up risk than aggregate state data.
- Obtain regular operating information. Quarterly occupancy, staff turnover, fee changes and ratio compliance give earlier warning than annual accounts.
- Review regulatory standing. Compliance and quality ratings under the National Quality Framework affect enrolment and, in serious cases, the ability to operate.

9. Outlook

We set out three scenarios for the 12 months to March 2025. They are indicative and they are not weighted by formal probabilities, but we regard the central case as the most likely.

- Central case: national occupancy of 73% to 75%. Wage growth of 4% to 6% is mostly passed through, with fee increases of 3% to 5%. Median values remain in a range of A$4.0M to A$4.3M. Queensland corridors remain under pressure, with some stabilisation by early 2025.
- Downside case: occupancy of 71% to 73%. Wage growth of 6% or more, partly or wholly unrecovered, and further softness in household budgets. Median values fall 5% to 10%, with larger falls in oversupplied corridors, and a higher number of distressed sales.
- Upside case: occupancy of 75% to 77%. Government wage funding limits the cost shock, supply moderates faster than expected and participation continues to rise. Median values rise 3% to 5%.

Beyond 2025, structural demand supports the sector. Policy emphasis on universal access, rising participation and population growth in the outer suburbs all point to sustained requirements for places. The risk is not that demand disappears, but that supply, wages and policy move out of alignment for a period, and that leveraged owners are caught in that gap.

10. Key risks and monitoring indicators

The principal risks to this outlook, and the indicators that would signal them, are set out below.

- Wage risk. Indicators are Fair Work Commission decisions, enterprise agreement outcomes and staff turnover rates in the panel.
- Regulatory and policy risk. Indicators are the outcomes of the ACCC and Productivity Commission inquiries, changes to the hourly rate cap, and any conditions attached to wage funding.
- Oversupply risk. Indicators are new centre approvals per 1,000 children aged 0 to 5 years in each corridor, and months to reach 70% occupancy for centres opened in the last two years.
- Interest rate risk. Indicators are the BBSW curve, capitalisation rates on long-lease childcare property and household mortgage stress.
- Operator risk. Indicators are quality ratings, ratio breaches, and concentration of ownership in single operators with multiple sites.

11. Limitations

This report is prepared for general information and for use by Quillwood Credit Partners in its sector analysis. It does not constitute valuation, credit or legal advice and should not be relied upon in relation to any individual centre or transaction. Figures are Larkspur estimates based on the panel and may differ from those of other sources. The model centre is illustrative. Forecasts and scenarios are uncertain and actual results may differ materially. Larkspur Industry Insights has no financial interest in any centre or operator referred to in this report.